

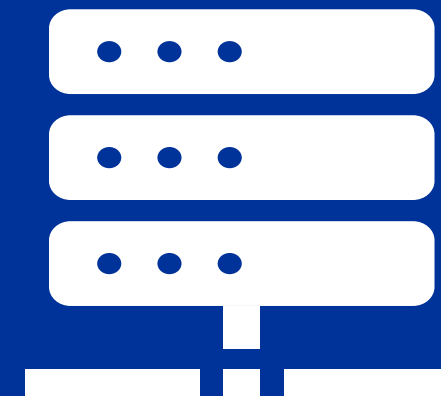
# BOTSWANA

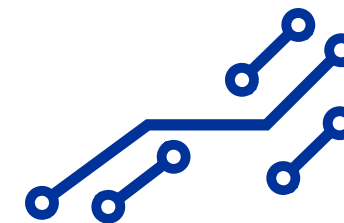
## DATA CENTER MARKET BRIEFING

A strategic overview of the data center investment opportunity in Botswana

A Xalam Analytics Country Report

January 2026



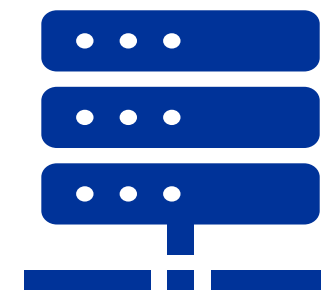


This report is part of a series of market briefs developed by Xalam Analytics at the behest of Digital Investment Facility (DIF) under the Data Governance in Africa Initiative, on the data center market opportunity in sub-Saharan Africa (“SSA”). This analysis aims to provide key insights into market demand and supply patterns for data center markets, business landscape, regulatory impact and investment returns. The research aims to provide potential investors and stakeholders with the latest information on the data center market in the SSA region.

This country review is based on our assessment of information and data as available to our research. It is further underpinned by our understanding of the marketplace along with market data and insights collected through continuous research. The numbers and estimates in this report are derived from a mix of sources, including estimates from Xalam Analytics’ economic models, data providers, regulator data and other sources as may be indicated.

This report is prepared with funds from the [Data Governance in Africa Initiative](#), a project financed by the European Union, Germany, Belgium, Estonia, Finland and France under the [Digital for Development \(D4D\) Hub](#). Its contents are the sole responsibility of Xalam Analytics and do not necessarily reflect the views of the funders.

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# The Botswana data center investment case

A push to transform one of Africa's most stable markets into a knowledge-based economy



## THE OPPORTUNITY

- An upper-middle income country with plans to become an upper income country by 2036 **by transforming its economy into a knowledge-based one.**
- Among the **most politically and economically stable countries in SSA.**
- **Digital Transformation Strategy (SmartBots)** established to enhance connectivity, build a knowledge workforce, improve digital skills and digitalize public services.
- Positive investment climate aided by **low corporate tax rates, free repatriation of profits and no foreign exchange controls.**
- One of the **most connected markets** in sub-Saharan Africa.

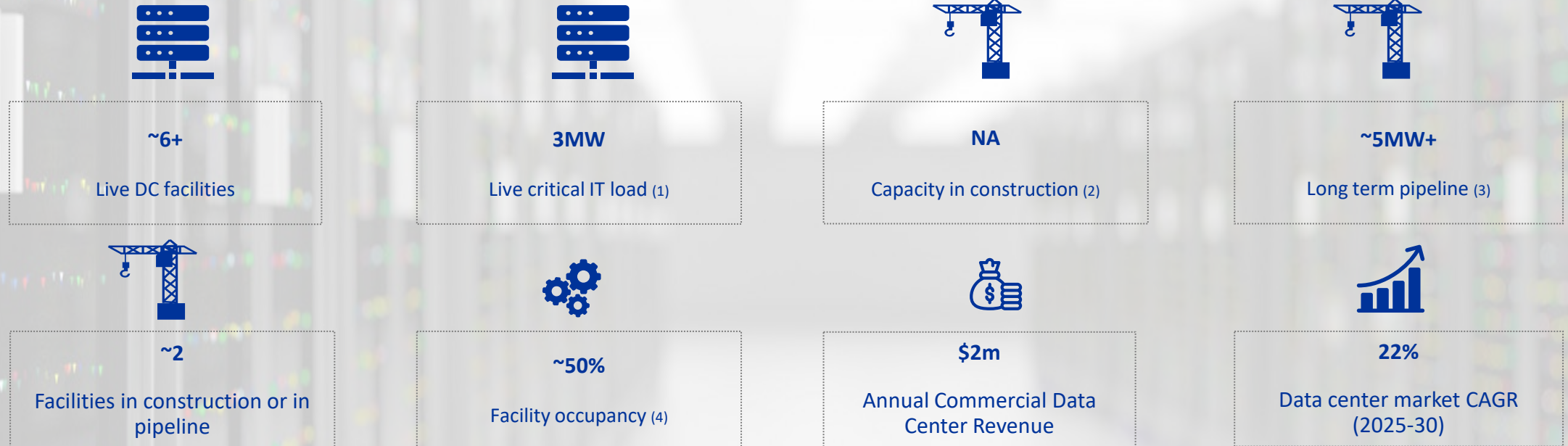


## CHALLENGES & RISKS

- Weakening diamond export market has led to **slowing economic growth over the past 2-3 years.**
- **Devaluation of the Pula** and continued economic pressures raise foreign currency risk.
- Relatively small-scale domestic demand for cloud.
- Lack of power generation diversity heightens risk of **unreliable supply and frequent outages.**

# Botswana data center market overview

Estimates as of 2025



(1) Capacity that is active, under lease or readily available for lease by third-party customers.

(2) IT load capacity from facilities currently in construction; construction has broken ground; ongoing civil works, installation and commissioning phases are in progress.

(3) Facilities explicitly announced or listed as in development. Some execution phases have been initiated (e.g. land control, energy supply commitments, etc.), but no actual civil works have been undertaken. Capacity expected to be available by the end of 2030.

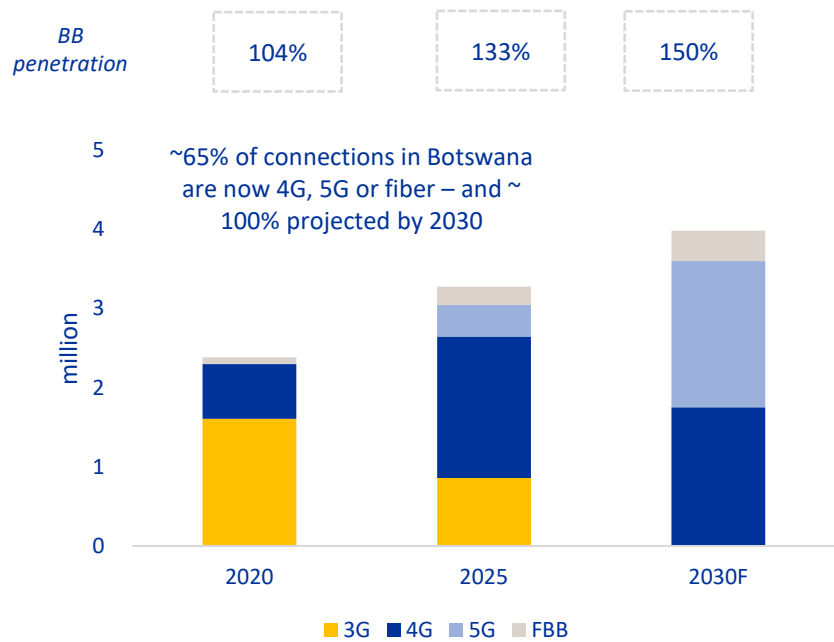
(4) Percent of available capacity that is effectively being used by third party customers.

Sources: Xalam Analytics estimates, provider data

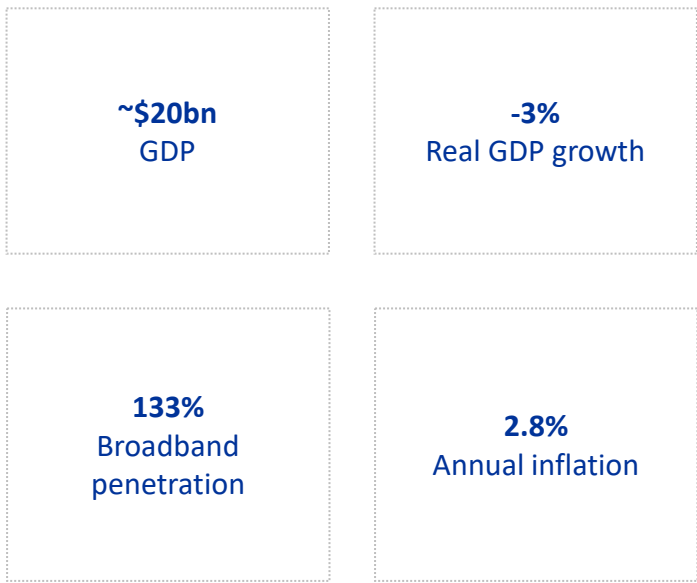
# Key drivers of demand for data centers

A government push to diversify the economy away from mineral extraction is driving digital transformation in Botswana, in the face of emerging economic pressures

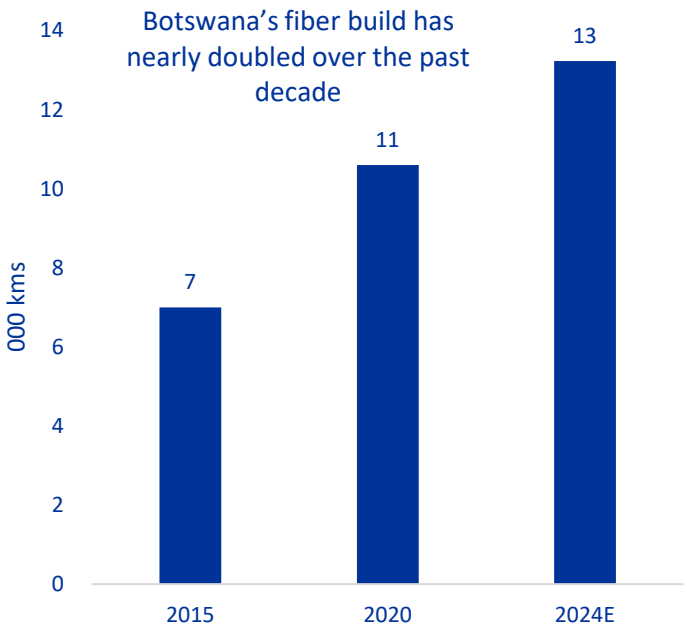
A growing digital customer base  
- Botswana broadband connections by type - million



Key pressures in the economy, with moderate inflation  
Sample Botswana economic indicators - 2025



Expanded digital infrastructure build  
Botswana terrestrial fiber – 000 kms



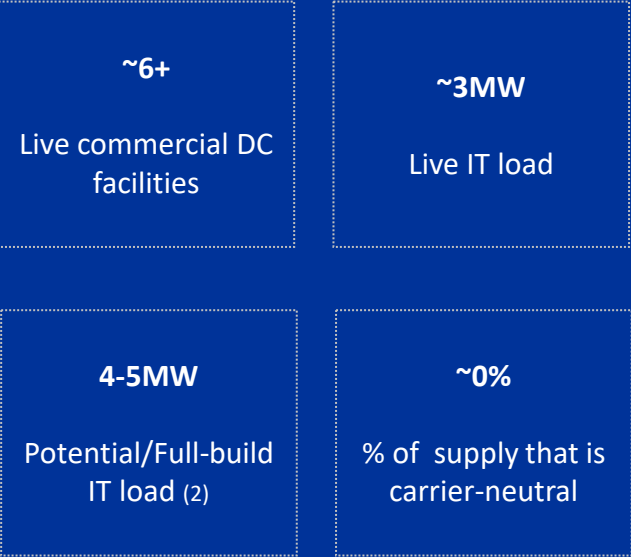
Sources: Statistics Botswana, BOCRA and provider data, Xalam Analytics estimates

# State of data center supply

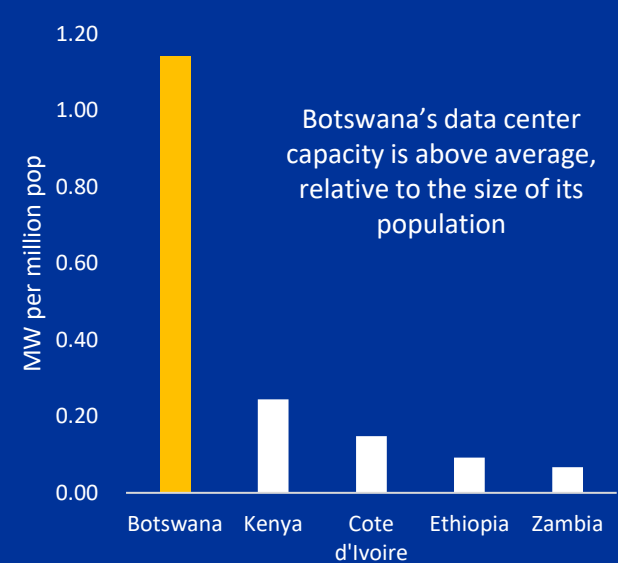
Botswana's data center capacity is growing fast

## Botswana data center supply – 2025E

Sample market indicators (1)

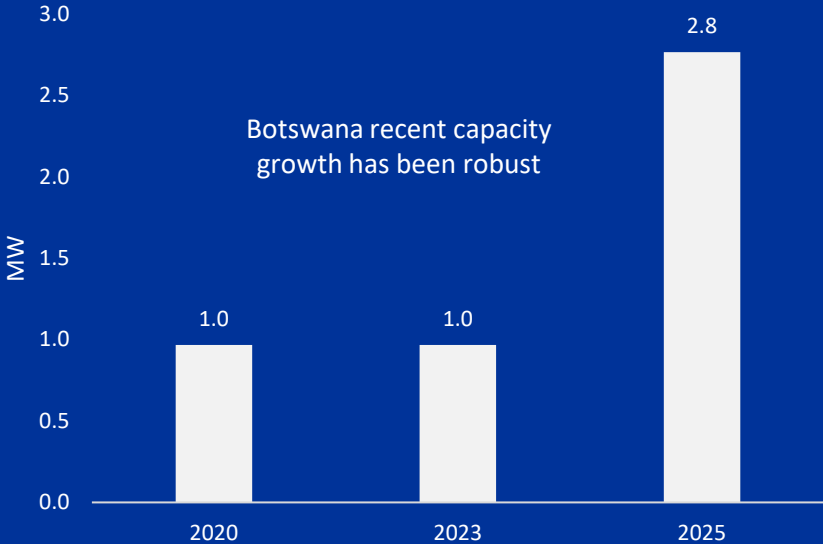


## Botswana vs. Sub-Saharan Africa peers Critical IT load – MW per million population



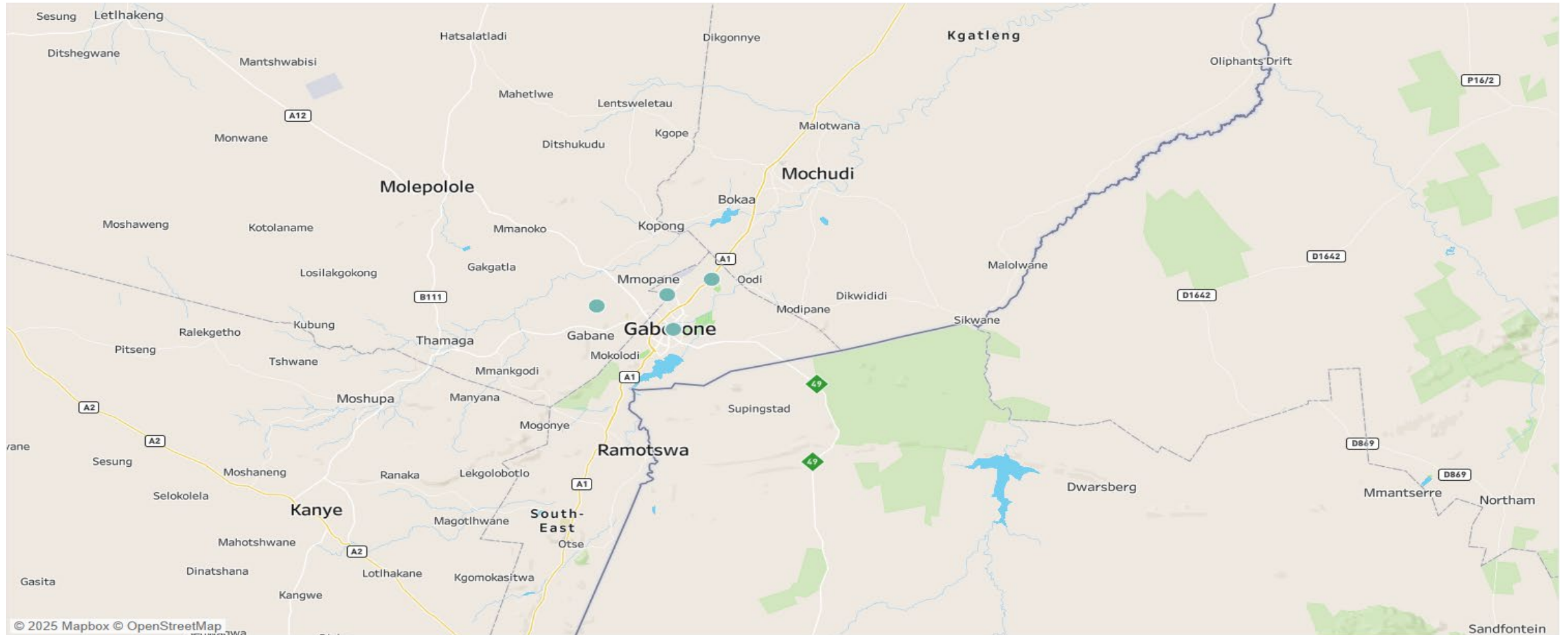
## Botswana data center market – evolution of live supply

Critical IT load - in MW



(1)Numbers are rounded up (2) Potential/Full-build load is facility capacity assuming that all phases of development have been completed. Additional CapEx would be needed to make the residual capacity operational.  
Sources: Xalam Analytics estimates, provider data

# Botswana facility mapping – Gaborone metro





# Key data center market players

A telco and infraco-dominated data center market

## Telcos & Fiber Infracos



Focused on mobility and fiber - colocation is an adjacent opportunity.

## Government



State agency offering a range of IT services, including colocation

## AI Initiatives



Developments looking to deploy AI-capable infrastructure in Botswana

Hybrid facilities are the norm

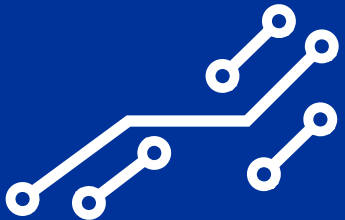


- Telcos and InfraCos dominate Botswana's data center market, offering colocation services to third parties via hybrid facilities that also serve internal purposes.
- Botswana has yet to see the arrival of a pan-regional pure-play data center provider (like ADC, Paix, Raxio, etc.), likely the result of its small size and proximity to South Africa.
- A number of initiatives are emerging, looking to position Botswana as a destination for AI compute.





## GLOSSARY & KEY DEFINITIONS



# Key definitions

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|                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Data center              | While there are a variety of definitions for data centers, this market review is focused on commercial facilities , that is, facilities that lease colocation white space and power capacity to third-party customers on open, commercial terms, and in exchange for a fee. Captive facilities (bank data centers, telco switch sites and similar) are excluded from this assessment. Estimates focus on facilities at Tier II standard and above, unless otherwise indicated. Where applicable, these estimates include cloud hyperscaler self-built facilities. |
| Live critical IT load    | Capacity that is active, under lease or readily available for lease.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Full build capacity      | Data center facilities are typically built in phases; the full-build capacity is capacity assuming all potential phases of build have been completed and are live.                                                                                                                                                                                                                                                                                                                                                                                                |
| Capacity in construction | Facilities that have broken ground; ongoing civil works, installation and commissioning phases.                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Pipeline                 | Facilities explicitly announced or listed as in development. Some execution phases have been initiated (e.g. land acquisition, power supply commitments, etc.), but no actual civil works have been undertaken.                                                                                                                                                                                                                                                                                                                                                   |
| Carrier-neutral          | Facilities not specifically affiliated to a connectivity or cloud vendor, with capacity available to all third-party customers, on equal commercial terms, without explicit or implicit constraints or favoritism. This market review uses a loose definition for carrier-neutral, referring to facilities that are purely carrier-neutral, recognized by the market or effectively managed as such.                                                                                                                                                              |

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# Glossary

Below are some of the key abbreviations used in this report

|              |                                            |
|--------------|--------------------------------------------|
| <b>AI</b>    | Artificial Intelligence                    |
| <b>ASN</b>   | Autonomous System Number                   |
| <b>bn</b>    | billion                                    |
| <b>CAGR</b>  | Compound Annual Growth Rate                |
| <b>CapEx</b> | Capital Expenditures                       |
| <b>CDN</b>   | Content Delivery Network                   |
| <b>Colo</b>  | Colocation                                 |
| <b>DC</b>    | Data Center                                |
| <b>DIF</b>   | Digital Investment Facility                |
| <b>EAC</b>   | East African Community                     |
| <b>EU</b>    | European Union                             |
| <b>F</b>     | Forecast                                   |
| <b>FBB</b>   | Fixed Broadband                            |
| <b>FDI</b>   | Foreign Direct Investment                  |
| <b>FX</b>    | Foreign Exchange                           |
| <b>GDP</b>   | Gross Domestic Product                     |
| <b>GDPR</b>  | General Data Protection Regulation         |
| <b>ICT</b>   | Information, Communications and Technology |
| <b>ISP</b>   | Internet Service Provider                  |
| <b>IPP</b>   | Independent Power Producer                 |
| <b>IT</b>    | Information Technology                     |

|            |                                 |
|------------|---------------------------------|
| <b>kW</b>  | Kilowatt                        |
| <b>kWh</b> | Kilowatt Hour                   |
| <b>LLM</b> | Large Language Models           |
| <b>m</b>   | million                         |
| <b>MNC</b> | Multinational Corporation       |
| <b>MNO</b> | Mobile Network Operator         |
| <b>MRR</b> | Monthly Recurring Revenue       |
| <b>MSP</b> | Managed Service Provider        |
| <b>MW</b>  | Megawatts                       |
| <b>NDC</b> | National Data Center            |
| <b>OEM</b> | Original Equipment Manufacturer |
| <b>POP</b> | Point of Presence               |
| <b>PUE</b> | Power Usage Effectiveness       |
| <b>RFS</b> | Ready For Service               |
| <b>SEZ</b> | Special Economic Zone           |
| <b>SSA</b> | Sub-Saharan Africa              |
| <b>USD</b> | US dollar                       |
| <b>PUE</b> | Power Usage Effectiveness       |
| <b>RFS</b> | Ready For Service               |
| <b>SSA</b> | Sub-Saharan Africa              |
| <b>YE</b>  | Year end                        |



Learn more:

<https://d4dhub.eu/initiatives/data-governance-in-africa>

